1. We are able to estimate its present and future intrinsic value, two to three years out, with a very high degree of certainty.
2. The price offered is higher than present or future estimated intrinsic value.

Our brains have undergone millions of years of evolution, yet they are poorly evolved to deal with the vagaries of the stock market. When the lion roars, our brains tell us to start running. We don't process; we just run. When stock prices drop dramatically, the fear that sets in is similar to hearing the lion roar. Our first instinct is to sell the turkey, purge the memory of ever having owned it, and run away. This is one of the primary reasons why most investors do worse than the stock market indexes. They are enthusiastic about buying stocks that have been rising, and they are keen to sell positions that have undergone large drops. To counterbalance our messed-up brains, we have to put rational chakravyuh traversal rules in place to promote rational behavior.

The key to being a successful investor is to buy assets consistently below what they are worth and to fixate on absolutely minimizing permanent realized losses. Warren Buffett's two main rules are:

> Rule No. 1: Never lose money.
>
> Rule No. 2: Never forget rule No. 1.[2]

While valuations of public companies can go through dramatic change in a matter of a few minutes, real business changes takes months, if not years. The gas station has seen dramatic drop-offs in cash flows and the future is murky. We need to allow enough time for the clouds to clear. In two to three years, it should be quite clear whether oil prices are likely to stay permanently at $150 a barrel or higher, whether the government has stepped in to help, whether consumer conservation patterns were temporary or permanent, whether the business model can be transformed to emphasize other products or services, and so on.

Once two years have passed and cash flows are still at $20,000 a year, you ought to be open to a sale at $200,000 or higher if you have a compelling investment alternative for the proceeds. Once three years have passed, all the shackles are off. At this point, I would be open to selling at